Hyosung Heavy Industries
(298040 KS)

4Q26 earnings to surge, 765kV growth to accelerate

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BUY (M)

Target price	W4,200,000 (M)
Previous target price	W4,200,000
Current price (Oct 30)	W1,809,000
Upside potential	132%

Market cap (Wbn)	16,868
Shares outstanding	9,324,548
Avg daily T/O (2M, Wbn)	116
Avg daily volume (2M, shrs)	45,254
52-week high/low (won)	4,601,000 / 1,757,000
Foreign ownership (%)	25.23%
Dividend yield (%)	0.42%
Major shareholders	Hyosung Corp & others

Stock performance

(%)	1M	3M	12M
Absolute	(34.8)	(4.5)	(13.9)
Relative	(22.2)	(6.8)	(38.6)
Abs (US$)	(33.9)	2.9	(7.9)

3Q26 review: focus on 4Q26 earnings improvement

Hyosung Heavy Industries posted 3Q26 consolidated revenue of W1.74tn (+7.2% YoY, +3.2% QoQ) and OP of W243.5bn (+10.8% YoY, -7.9% QoQ, OPM 14.0%), missing our estimate by 7.5%. Heavy industry OP came to W235.7bn (OPM 19.8%), affected by logistics disruptions from hurricanes in the US and delivery schedule adjustments in the Middle East and the UK. A total of W260bn-270bn in revenue, including about W140bn in high-margin gas-insulated switchgear (GIS) bound for a US nuclear power operator, was deferred to 4Q26. If this had been normally recognized, heavy industry OP would have exceeded W300bn (OPM over 21%). Construction OP was W7.7bn. Although cost increases of around W40bn were incurred at a specific site, this was offset by additional profits from other projects, limiting the net impact to around W22.5bn. We see a little likelihood of cost burdens spreading to other sites.

We expect heavy industry OP in 4Q26 to reach a new quarterly high, exceeding W400bn. Profitability is also likely to improve as deferred high-margin GIS volumes and additional US and European sales are recognized. The firm maintained full-year guidance for the heavy industry, with revenue expected to grow by 25% and OPM in the high-teen range. Cumulative new orders reached W10.7tn, achieving 89% of the annual target of W12tn and opening the possibility of beating the target.

Expanding 765kV orders, growth visibility to strengthen post-2027

In 3Q26, heavy industry new orders reached W3.23tn (+122% YoY) and order backlog hit W18.9tn (+71% YoY), renewing all-time highs. The US accounts for 60% of the order backlog, and 765kV transformer order backlog stands at around W1.9tn. Discussions are also underway for additional 765kV orders worth well over twice the volume currently secured. Following direct orders for 765kV/345kV transformers from a hyperscaler in September, the company secured about W300bn in STATCOM orders for the US 765kV transmission grid, expanding its customer base and product portfolio.

We estimate 2027 consolidated revenue at W1.74tn (+61.5% YoY, OPM 18.1%). Annual production capacity at the Memphis plant will likely rise to $400mn by end-2026, contributing to 2027 earnings, and to $700mn by Jun 2028. The company is also reviewing capacity expansions for UHV transformers in Changwon and distribution transformers for US data centers. Given ongoing growth in new orders for 765kV equipment alongside the conversion of high-margin order backlog into revenue and capacity expansion, visibility for profit growth beyond 2027 is rising. We maintain BUY and target price of W4,200,000.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	1,741	7.2	3.2	1,887	-7.8
OP	243	10.8	-7.9	304	-19.8
Pre-tax net profit	280	43.2	18.3	290	-3.3
Net profit, CI	220	46.2	27.2	218	0.5
OPM (%)	14.0	+0.5 %pt	-1.7 %pt	16.1	-2.1 %pt
NPM (%)	12.6	+3.4 %pt	+2.4 %pt	11.6	+1.0 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	4,895	5,969	7,256	9,592
OP	362	747	1,075	1,736
Net profit, CI	223	520	676	1,120
P/E (x)	13.4	18.7	24.9	15.1
P/B (x)	1.6	4.1	5.7	4.2
EV/EBITDA (x)	8.9	12.5	14.8	8.9
ROE (%)	14.9	24.4	25.4	32.1

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Hyosung Heavy Industries: 3Q26 review (Wbn)

	3Q26P	3Q25	YoY	2Q26	QoQ	Our estimate	Diff
Sales	1,740.6	1,624.1	7.2%	1,687.0	3.2%	1,916.2	-9.2%
OP	243.5	219.8	10.8%	264.3	-7.9%	263.1	-7.5%
OPM (%)	14.0%	13.5%	+0.5%p	15.7%	-1.7%p	13.7%	+0.3%p

Source: Yuanta Securities

Earnings forecast revision (Wbn)

	Old			New			Difference		
	4Q26E	2026E	2027E	4Q26E	2026E	2027E	4Q26E	2026E	2027E
Sales	2,259.9	7,221.3	9,748.1	2,470.4	7,256.2	9,591.7	9.3%	0.5%	-1.6%
OP	388.2	1,067.9	1,773.8	415.0	1,075.1	1,735.8	6.9%	0.7%	-2.1%
OPM (%)	17.2%	14.8%	18.2%	16.8%	14.8%	18.1%	-0.4%p	+0.0%p	-0.1%p

Source: Yuanta Securities

Hyosung Heavy Industries: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	**1,076.1**	**1,525.3**	**1,624.1**	**1,743.0**	**1,358.2**	**1,687.0**	**1,740.6**	**2,470.4**	**5,968.5**	**7,256.2**	**9,591.7**
Heavy industry	730.8	1,061.1	1,143.7	1,212.7	880.7	1,137.1	1,193.2	1,860.7	4,148.3	5,071.7	7,240.2
Construction	344.2	463.2	479.3	529.4	476.7	549.1	546.6	608.8	1,816.1	2,181.2	2,348.2
Others and	1.1	1.0	1.1	0.9	0.8	0.8	0.8	0.9	4.1	3.3	3.3
% YoY	***9.3%***	***27.8%***	***41.8%***	***10.9%***	***26.2%***	***10.6%***	***7.2%***	***41.7%***	***21.9%***	***21.6%***	***32.2%***
Heavy industry	*25.5%*	*42.5%*	*60.9%*	*14.1%*	*20.5%*	*7.2%*	*4.3%*	*53.4%*	*33.8%*	*22.3%*	*42.8%*
Construction	*-14.4%*	*3.1%*	*10.6%*	*4.2%*	*38.5%*	*18.5%*	*14.0%*	*15.0%*	*1.3%*	*20.1%*	*7.7%*
Sales portion											
Heavy industry	67.9%	69.6%	70.4%	69.6%	64.8%	67.4%	68.5%	75.3%	69.5%	69.9%	75.5%
Construction	32.0%	30.4%	29.5%	30.4%	35.1%	32.5%	31.4%	24.6%	30.4%	30.1%	24.5%
OP	**102.4**	**164.3**	**219.8**	**260.5**	**152.3**	**264.3**	**243.5**	**415.0**	**747.0**	**1,075.1**	**1,735.8**
% YoY	***82.3%***	***162.1%***	***97.3%***	***97.0%***	***48.8%***	***60.9%***	***10.8%***	***59.3%***	***106.1%***	***43.9%***	***61.5%***
Heavy industry	90.1	168.5	195.7	244.5	117.7	229.8	235.7	402.8	698.8	986.0	1,618.4
Construction	12.1	-4.2	24.0	15.8	34.4	34.4	7.7	12.2	47.7	88.7	117.4
% OPM	**9.5%**	**10.8%**	**13.5%**	**14.9%**	**11.2%**	**15.7%**	**14.0%**	**16.8%**	**12.5%**	**14.8%**	**18.1%**
Heavy industry	12.3%	15.9%	17.1%	20.2%	13.4%	20.2%	19.8%	21.6%	16.8%	19.4%	22.4%
Construction	3.5%	-0.9%	5.0%	3.0%	7.2%	6.3%	1.4%	2.0%	2.6%	4.1%	5.0%

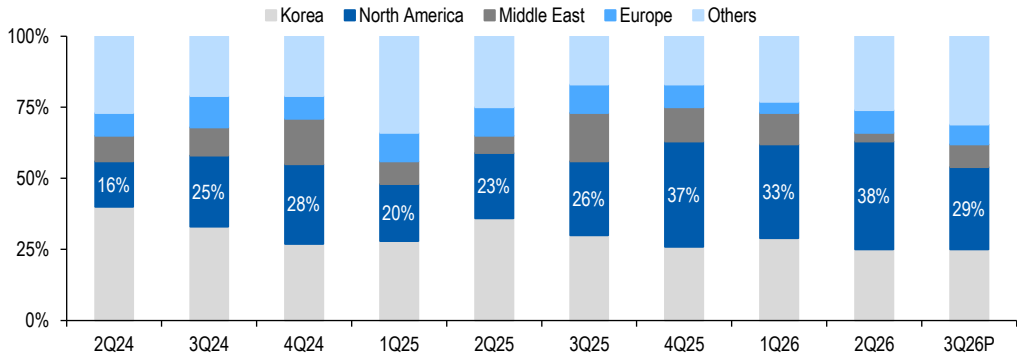
Source: Yuanta Securities

UHV transformer peers: valuations **(Wbn, $mn, JPYbn, EURmn)**

		Hyosung Heavy Ind	LS Electric	HD Hyundai Electric	Sanil Electric	Iljin Electric	PWR	GEV	HUBB	Hitachi	Siemens Energy
Market cap		**16,868**	22,440	15,302	4,495	2,513	95,707	234,994	23,154	23,104	111,358
Sales	2025	**5,969**	4,966	4,080	502	2,045	28,480	38,068	5,845	10,587	39,077
	2026E	**7,256**	6,879	4,643	663	2,371	40,378	46,828	6,920	11,868	44,204
	2027E	**9,592**	9,618	5,610	885	2,522	47,059	53,618	7,683	12,904	50,632
	2028E	**12,476**	11,260	6,546	1,177	2,663	53,640	61,943	8,155	13,911	57,249
OP	2025	**747**	426	995	179	151	1,612	1,388	1,209	1,132	2,149
	2026E	**1,075**	787	1,159	249	254	2,726	4,569	1,605	1,467	5,183
	2027E	**1,736**	1,319	1,564	338	285	3,390	8,287	1,821	1,700	7,241
	2028E	**2,580**	1,732	1,910	446	314	4,057	11,778	1,967	1,965	9,372
OPM (%)	2025	**12.5%**	8.6%	24.4%	35.6%	7.4%	5.7%	3.6%	20.7%	10.7%	5.5%
	2026E	**14.8%**	11.4%	25.0%	37.6%	10.7%	6.8%	9.8%	23.2%	12.4%	11.7%
	2027E	**18.1%**	13.7%	27.9%	38.2%	11.3%	7.2%	15.5%	23.7%	13.2%	14.3%
	2028E	**20.7%**	15.4%	29.2%	37.9%	11.8%	7.6%	19.0%	24.1%	14.1%	16.4%
Net profit, CI	2025	**520**	287	733	149	104	1,028	4,884	887	802	1,414
	2026E	**676**	603	882	213	178	2,659	7,036	1,095	953	3,822
	2027E	**1,120**	1,020	1,185	288	205	3,148	6,893	1,224	1,137	5,309
	2028E	**1,863**	1,315	1,446	376	250	3,812	9,553	1,356	1,314	6,797
P/E (x)	2025	**31.9**	48.2	38.1	26.6	25.0	57.3	35.9	26.3	25.3	61.0
	2026E	**24.9**	37.2	17.4	21.1	14.1	36.0	33.4	21.1	24.2	29.1
	2027E	**15.1**	22.0	12.9	15.6	12.3	30.4	34.1	18.9	20.3	21.0
	2028E	**9.1**	17.1	10.6	12.0	10.0	25.1	24.6	17.1	17.6	16.4

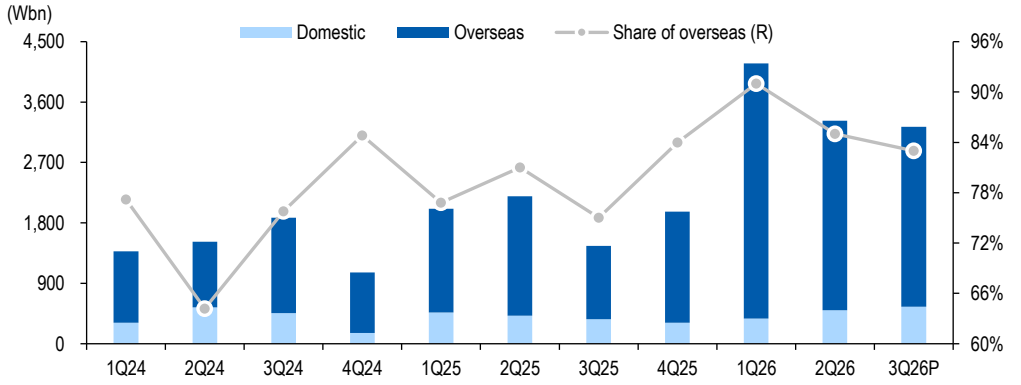
Note: CI = controlling interest; earnings for Korean firms are our estimates; market cap as of Oct 30, 2026
Source: Bloomberg, Yuanta Securities

Hyosung Heavy Industries: 3Q26 revenue breakdown by region



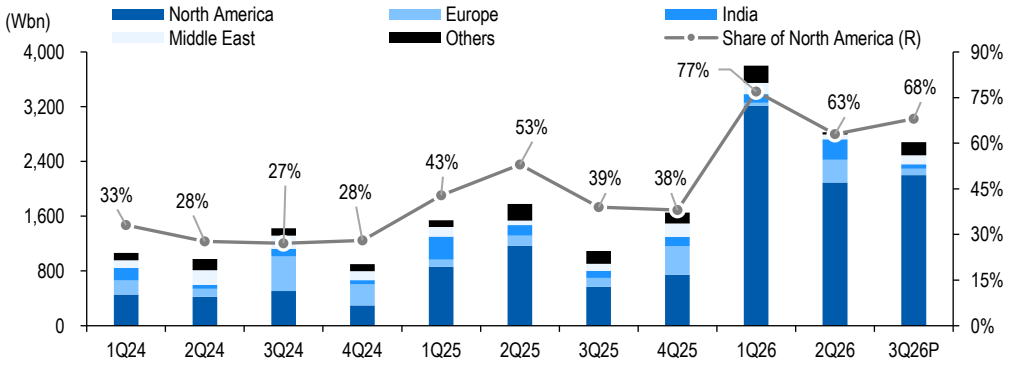
Source: company data, Yuanta Securities

Hyosung Heavy Industries: overseas share of heavy industry new orders



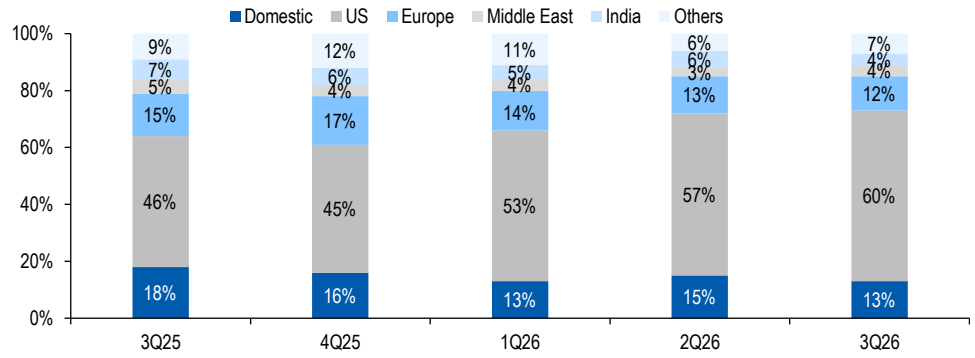
Source: company data, Yuanta Securities

Hyosung Heavy Industries: heavy industry new orders breakdown by region



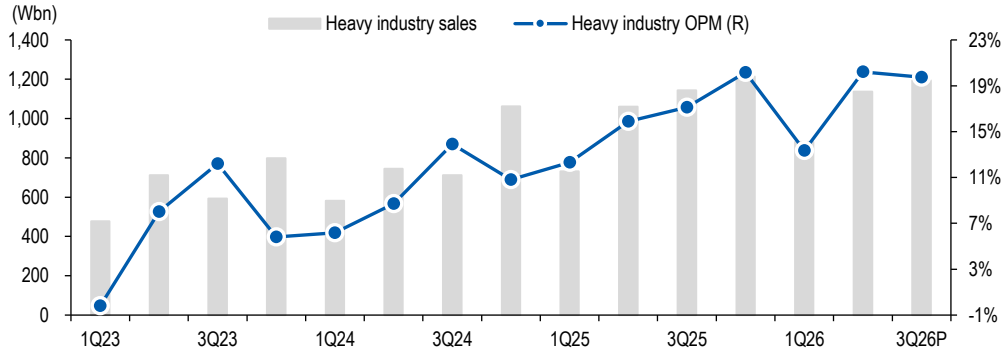
Source: company data, Yuanta Securities

Hyosung Heavy Industries: 3Q26 heavy industry order backlog breakdown by region



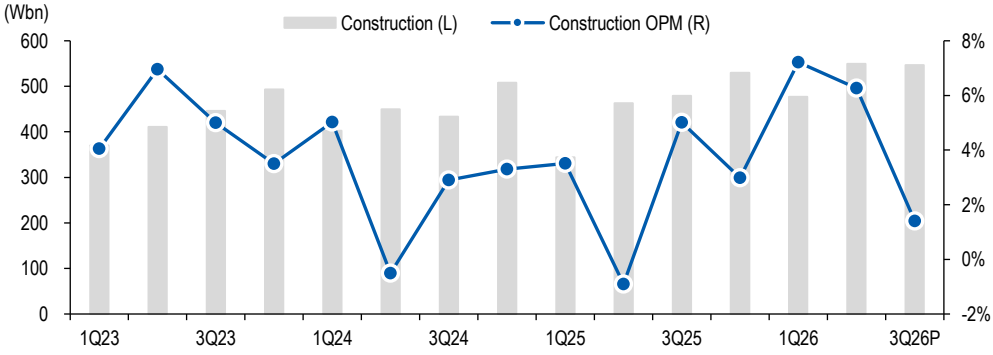
Source: company data, Yuanta Securities

Hyosung Heavy Industries: heavy industry sales and OPM



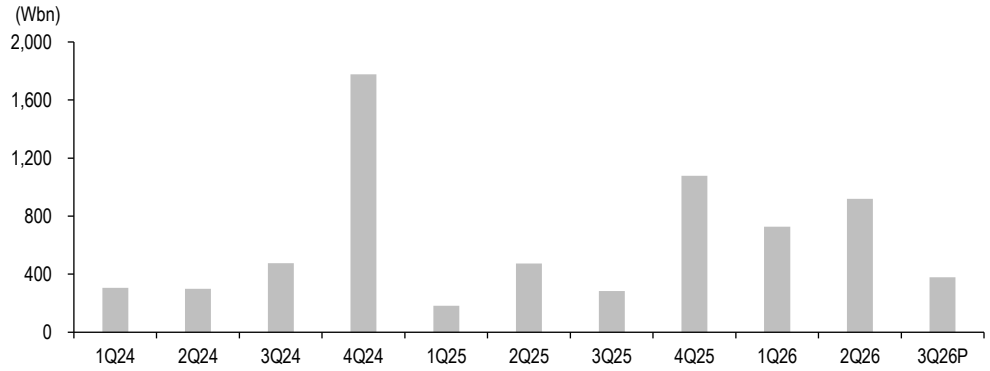
Source: company data, Yuanta Securities

Hyosung Heavy Industries: construction business sales and OPM



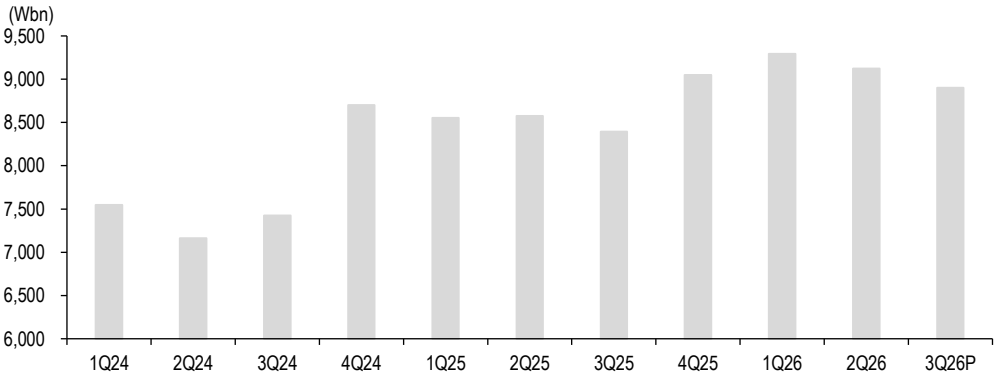
Source: company data, Yuanta Securities

Hyosung Heavy Industries: quarterly construction new orders



Source: company data, Yuanta Securities

Hyosung Heavy Industries: quarterly construction order backlog



Source: company data, Yuanta Securities

Hyosung Heavy Industries (298040 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**4,895**	**5,969**	**7,256**	**9,592**	**12,476**
Cost of sales	4,103	4,716	5,563	7,058	8,860
Gross profit	792	1,253	1,693	2,534	3,616
SG&A	429	506	618	798	1,036
Operating profit	**362**	**747**	**1,075**	**1,736**	**2,580**
EBITDA	435	833	1,169	1,843	2,700
Non-operating profit	-139	-121	-203	-292	-177
Forex gains	19	-11	-1	-1	1
Net interest income	-26	-21	-9	29	114
Equity-method gains	-2	-3	3	3	3
Other	-130	-86	-196	-323	-295
Net prof before income tax	224	626	872	1,444	2,403
Income tax	1	123	218	361	601
Net profit from continuing ops	223	503	654	1,083	1,802
Net profit from discontinued ops	0	0	0	0	0
Net profit	223	503	654	1,083	1,802
NP for controlling interest	**223**	**520**	**676**	**1,120**	**1,863**
Total comprehensive income	852	473	661	1,086	1,805
Total comprehensive income, CI	852	490	660	1,085	1,802

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**3,036**	**3,738**	**4,681**	**6,833**	**10,069**
Cash & cash equivalents	249	217	380	1,148	2,675
Accounts receivables & other	1,330	1,626	1,997	2,639	3,433
Inventory	885	1,278	1,553	2,053	2,671
Non-current assets	3,182	3,490	3,863	4,186	4,486
Tangible assets	2,172	2,307	2,675	2,837	2,994
Investment in affiliates	36	47	58	76	99
Other investment assets	320	329	385	488	615
Total assets	**6,219**	**7,228**	**8,543**	**11,020**	**14,555**
Current liabilities	3,093	3,561	4,257	5,518	7,076
Accounts payable & other	1,437	1,652	2,008	2,654	3,452
ST financial liabilities	332	272	272	272	272
Liquid LT liabilities	165	66	66	66	66
Non-current liabilities	1,070	1,177	1,205	1,411	1,672
LT financial liabilities	511	434	434	434	434
Debentures	52	30	30	30	30
Total liabilities	**4,163**	**4,738**	**5,462**	**6,929**	**8,747**
Equity, controlling interest	1,909	2,352	2,966	4,011	5,790
Paid-in capital	47	47	47	47	47
Capital surplus	892	892	892	892	892
Retained earnings	353	829	1,436	2,479	4,254
Equity, non-controlling interest	147	138	116	79	18
Total equity	**2,056**	**2,490**	**3,081**	**4,090**	**5,808**
Net debt	**728**	**597**	**311**	**-525**	**-2,130**
Total debt	1,313	1,136	1,083	1,140	1,218

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**412**	**493**	**848**	**957**	**1,512**
Net profit	223	503	654	1,083	1,802
Depreciation & amortization	59	69	82	98	113
Forex gains	-20	5	1	1	-1
Affiliate investment gains	2	3	-3	-3	-3
Increase in net working cap	44	-281	-125	-458	-632
Other	105	193	239	236	234
Investing cash flow	**-215**	**-213**	**-581**	**-502**	**-569**
Investment	-97	-20	-67	-121	-150
Increase in tangible assets	-84	-163	-450	-260	-270
Decrease in tangible assets	2	1	0	0	0
Other	-35	-30	-64	-120	-150
Financing cash flow	**-228**	**-313**	**-212**	**-109**	**-99**
ST financial liabilities	-131	-68	35	63	78
Debenture/LT financial liabilities	84	-110	-88	-5	0
Equity	0	0	0	0	0
Cash dividend	-23	-47	-70	-77	-88
Other cash flow	-158	-89	-89	-89	-89
Consolidation adj and other	2	0	108	422	684
Increase in cash & equivalents	**-29**	**-32**	**163**	**769**	**1,527**
Beginning cash & equivalents	278	249	217	380	1,148
Ending cash & equivalents	249	217	380	1,148	2,675
NOPLAT	362	747	**1,075**	**1,736**	**2,580**
FCF	**328**	**330**	**398**	**697**	**1,242**

Valuation

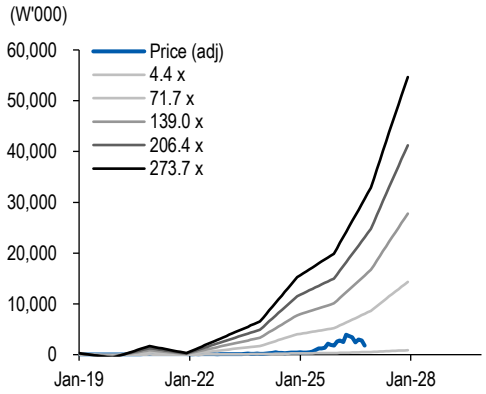
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	23,876	55,755	72,546	120,105	199,801
BPS (won)	204,958	252,555	318,473	430,764	621,760
EBITDA/shr (won)	46,688	89,326	125,421	197,690	289,536
SPS (won)	524,956	640,086	778,183	1,028,650	1,337,926
DPS (won)	5,000	7,500	8,300	9,400	10,000
P/E (x)	**13.4**	**18.7**	**24.9**	**15.1**	**9.1**
P/B (x)	**1.6**	**4.1**	**5.7**	**4.2**	**2.9**
EV/EBITDA (x)	**8.9**	**12.5**	**14.8**	**8.9**	**5.5**
P/S (x)	**0.6**	**1.6**	**2.3**	**1.8**	**1.4**

Key financial data

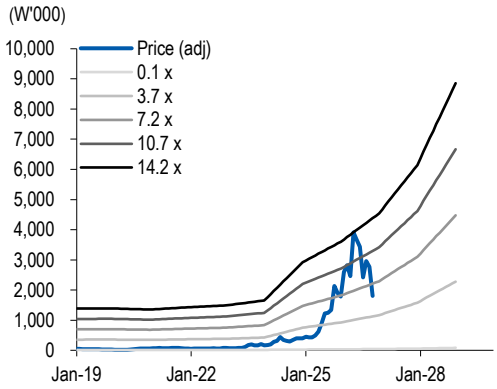
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**13.8**	**21.9**	**21.6**	**32.2**	**30.1**
Operating profit (%YoY)	**40.6**	**106.1**	**43.9**	**61.5**	**48.6**
Net profit, CI (%YoY)	**92.0**	**133.5**	**30.1**	**65.6**	**66.4**
Gross margin (%)	16.2	21.0	23.3	26.4	29.0
Operating margin (%)	**7.4**	**12.5**	**14.8**	**18.1**	**20.7**
Net margin, CI (%)	4.5	8.7	9.3	11.7	14.9
EBITDA margin (%)	8.9	14.0	16.1	19.2	21.6
ROIC (%)	18.9	24.6	29.8	43.5	60.1
ROA (%)	4.1	7.7	8.6	11.4	14.6
ROE (%)	**14.9**	**24.4**	**25.4**	**32.1**	**38.0**
Debt-to-equity (%)	202.5	190.3	177.3	169.4	150.6
Net debt-to-equity (%)	38.2	25.4	10.5	-13.1	-36.8
OP/financing cost (x)	4.1	12.7	20.1	32.4	45.5

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

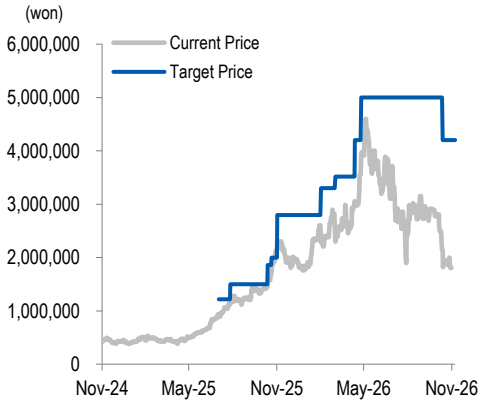
P/E band chart



P/B band chart



Hyosung Heavy Industries (298040 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	4,200,000	1 yr		
2026/10/14	BUY	4,200,000	1 yr		
2026/04/27	BUY	5,000,000	1 yr	-36.90	-7.98
2026/04/14	BUY	4,200,000	1 yr	-26.04	-15.43
2026/03/04	BUY	3,520,000	1 yr	-24.54	-13.13
2026/02/02	BUY	3,300,000	1 yr	-23.52	-12.18
2025/11/03	BUY	2,800,000	1 yr	-26.54	-7.04
2025/10/22	BUY	2,000,000	1 yr	-1.26	6.75
2025/10/14	BUY	1,860,000	1 yr	-12.10	-9.62
2025/05/10	After 1yr		1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 02, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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